

25STCV01682 25STCV01682

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Case Number: 25STCV01682 Hearing Date: July 23, 2026 Dept: 408

Defendant/Cross-Complainant

Toyota Motor North America, Inc.'s Motion to Compel Further Discovery Responses
as to Plaintiff/Cross-Defendant ZL Technologies, Inc. is GRANTED.

I.

BACKGROUND

On January 22, 2025, Plaintiff ZL

Technologies, Inc. ("ZL") filed a complaint against Defendant Toyota Motor
North America, Inc. ("Toyota"), erroneously sued as Toyota Motor Sales, U.S.A.,
Inc., alleging causes of action for:

1. Breach of Contract; and

2. Action for Reasonable Value
of Goods.

On January 22, 2025, the court entered the parties'

Stipulation to Change Venue transferring this action from Santa Clara County to
Los Angeles County.

On February 21, 2025, Toyota filed a cross-complaint
against ZL alleging causes of action for:

1. Breach of Contract for
Termination of Support Services;

2. Breach of Contract for

Increase in Service Fees

3. Breach of Contract for
RetentionX Subscription Fees;

4. Breach of the Implied
Covenant of Good Faith and Fair Dealing – Failure to Renew Tech Support
Contract;

5. Breach of the Implied
Covenant of Good Faith and Fair Dealing – Charging TMNA to Develop RetentionX;

6. Unjust Enrichment; and

7. Violation of California
Business and Professions Code § 17200.

On March 21, 2025, the court overruled Toyota's
Demurrer to ZL's complaint.

On April 1, 2025, Toyota filed an answer to ZL's
complaint.

On May 12, 2025, Toyota filed a First Amended
Cross-Complaint ("FACC").

On September 18, 2025, the court sustained in part
ZL's Demurrer to Toyota's FACC without leave to amend as to the fifth cause of
action and overruled in part as to the sixth cause of action.

On September 29, 2025, ZL filed an answer to
Toyota's FACC.

On June 22, 2026, Toyota filed this Motion to Compel
Further Discovery Responses. On July 10, 2026, ZL filed an opposition. On July
16, 2026, Toyota filed a reply.

II.

LEGAL STANDARD

On receipt of a response to form interrogatories, special interrogatories, and/or demand requests, the propounding and/or demanding party “may move for an order compelling further response” if: (1) the response is evasive or incomplete; (2) the representation of inability to comply is inadequate, incomplete, or evasive; or (3) the objection is without merit or too general. (Code Civ. Proc., §§ 2030.300, subd. (a), 2031.310, subd. (a).)

The moving party must demonstrate a “reasonable and good faith attempt” at an informal resolution of each issue presented. (Code Civ. Proc., §§ 2016.040, 2033.290, subd. (b)(1).) “In lieu of a separate statement required under the California Rules of Court, the court may allow the moving party to submit a concise outline of the discovery request and each response in dispute.” (Code Civ. Proc., § 2033.290, subd. (b)(2).)

Notice of the motion must be provided “within 45 days of the service of the verified response, or any supplemental verified response, or any specific later date to which the requesting party and the responding party have agreed in writing . . .” (Code Civ. Proc., § 2030.300, subd. (c).) The responding party has the burden of justifying the objections to the requests. (Coy v. Superior Court (1962) 58 Cal.2d 210, 220-221.)

The court must impose monetary sanctions against any party who unsuccessfully makes or opposes a motion to compel further unless the court finds that the one subject to sanction acted with substantial justification or that other circumstances make the imposition of sanctions unjust. (Code Civ. Proc., § 2030.300, subd. (d); Code Civ. Proc., § 2031.310, subd. (h).)

III.

DISCUSSION

Toyota moves to compel ZL to provide further responses to Request for Production of Documents, Set One (“RPDs”), and Special Interrogatories, Set One (“SROGs”), propounded on April 29, 2025. (Motion, at p. 4; Minnick Decl., ¶¶ 4-5, Exhs. 1, 3.) ZL provided initial responses on July 21, 2026. (Minnick Decl., ¶¶ 2, 4.) Specifically, Toyota requests further responses to RPD No. 24 and SROGs Nos. 10, 11, and 13. (Ibid.)

1.

RPD No. 24

RPD No. 24 requests ZL to produce “[a]ll Documents related to any incentives received by the sales staff for selling [its] Products.” (Separate Statement, at p. 2.)

In response, ZL objects to the request on the grounds that it is vague, ambiguous, overbroad, burdensome and oppressive. (Ibid.) ZL further objects to the request arguing that it calls for trade secrets and protected financial information. (Ibid.)

The party claiming a trade secret privilege has the burden of establishing its existence. (Bridgestone/Firestone, Inc. v. Superior Court (1992) 7 Cal.App.4th 1384, 1393.) The propounding party must then make a showing that the discovery sought is relevant and necessary to proving or defending against an element of one or more causes of action in the case and that it is reasonably essential to resolving the lawsuit. (Ibid.) Upon this showing, it is up to the holder of the privilege to show that a protective order would be inadequate. (Ibid.) “Either party may propose or oppose less intrusive alternatives to disclosure of the trade secret, but the burden is upon the trade secret claimant to demonstrate that an alternative to disclosure will not be unduly burdensome to the opposing side and that it will maintain the same fair balance in the litigation that would have been achieved by disclosure.” (Ibid.)

In opposition, ZL argues that documents of its sales commission data constitute a trade secret because such information is treated as confidential and ZL derives independent economic value from the information remaining confidential to third parties. (Opp., at pp. 14-15.) ZL further argues that Toyota cannot demonstrate that such discovery is essential to fair resolution of this action. (Id., at p. 16.)

Toyota argues that the information requested is not a trade secret as ZL has no evidence that it maintains its commission structure with a high degree of secrecy, particularly given that ZL made public disclosures of related information in other matters. (Motion, at pp. 7-8.) Toyota also contends that evidence regarding ZL’s sales commission structure is relevant and necessary to TMNA’s right to develop its defense that ZL had a financial motive to fabricate its overuse claim. (Id., at p. 9.) Toyota further notes that even if ZL’s

sales commissions were trade secrets, ZL cannot show that the protective order entered in this case is inadequate to protect its privacy interests. (Id., at pp. 9-10.)

The court finds that ZL fails to demonstrate that the information requested is a trade secret merely because it is confidential. The court also finds that, even if a trade secret was involved, disclosure of such information is necessary for Toyota to draft a defense and may lead to the fair resolution of this matter. The court also notes that the protective order entered in this action is sufficient to protect the confidentiality of the documents at issue, including the privacy interest of any third parties. ZL also fails to support any other objection asserted.

Accordingly,
the motion is granted as to RPD No. 24.

2. SROGs Nos. 10, 11, and 13

SROG No. 10 requests ZL to explain the manner in which its employees earned sales commissions and how the amount of any commission was determined. (Separate Statement, at p. 15.)

SROG No. 11 requests ZL to provide the date and amount of all commissions earned by its employees for all payments made by Toyota to ZL. (Id., at p. 24.)

SROG No. 13 requests ZL to state any sales commissions or other payments promised to or received by its employees for the successful recovery of any overuse claim, specifically any commissions promised to any of its employees for any recovery of its overuse claim against Toyota. (Id., at p. 33.)

In response, ZL asserts the same objections stated above to SROGs Nos. 10, 11, and 13. Accordingly, the parties assert the same arguments made for RPD No. 24 to support their positions as to the SROGs at issue. For the same reasons stated earlier, the court finds that the information requested is discoverable and the protective order entered in this action is sufficient to protect the confidentiality of the documents at issue.

The motion
is granted as to SROGs Nos. 10, 11, and 13.

3. Sanctions

The
court notes that neither party makes a direct request for sanctions. However,
the court notes that sanctions would be denied as to either party due to the
vast meet and confer efforts made and the merit of the arguments presented.

IV.

CONCLUSION

Defendant/Cross-Complainant

Toyota Motor North America, Inc.'s Motion to Compel Further Discovery Responses
as to Plaintiff/Cross-Defendant ZL Technologies, Inc. is GRANTED.